

complaint

P complains that TBO Services Limited didn't pass on to its insurer information about a claim that had previously been made for flood damage.

background

P said its premises were flooded again in 2015. I understand this was caused by heavy rain leading to water entering the property through its doors. P's insurer rejected the claim that was made for this. It did so on the basis that, when the policy was arranged, it had been told the insured property was in an area that wasn't susceptible to flooding. The insurer also cancelled the policy from its start date because of this.

TBO said that when, under one of its trading names, it first arranged the insurance for P in 2014, it was told the property wasn't in an area that was "*subject to hazardous weather conditions; flooding; or subsidence*". But it said P had also declared that a claim had been made more than four years previously for damage caused by flooding as a result of a blocked drain in the road. It said P described the flood as having been caused by an escape of water.

When the first period of insurance expired, TBO arranged cover for the next 12 months with another insurer. P's new claim was made during that second period of insurance. TBO said it arranged this cover on the basis of the information that had been provided the previous year. And the new insurer wasn't told about the previous claim for flooding because its statement of facts only asked about incidents that could have given rise to a claim within the previous three years. But it said the 2015 statement of facts also asked whether the property was in an area with a history of flooding. TBO said P incorrectly answered this "*no*". And it thought the corresponding question the previous year was also answered incorrectly. It said P should have checked the documents that recorded all this.

Our adjudicator said that when the 2014/2015 period of insurance expired the only question TBO asked P was about a piece of equipment used in the business. The adjudicator thought the statement of fact for the first period of insurance indicated that P was only asked about flooding caused by weather conditions. And he said the previous flood wasn't caused by the weather. So, he thought the question had been answered correctly. But he said the statement of facts for the second period of insurance referred to flooding differently so that all floods should have been mentioned. He thought the answer that TBO had inserted in the statement of facts was incorrect. So, he thought it should compensate P by paying the sum that the insurer would have paid if the cover had remained in force. TBO disagreed.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The insurance that TBO arranged wasn't in P's name. But the name that was used was very similar and a director of P has told us it relates to the same company. He said it's P that carries out the insured business. He suggested the difference in names was just an error.

The recordings of the discussions about the "renewal" of the insurance in 2015 show that TBO didn't ask P about any of the questions on the second insurer's statement of facts, except one in connection with a piece of equipment. Instead, it inserted answers in the

statement of facts by using the information that was provided in 2014. So, that means it was TBO's choice to answer the question about any history of flooding by inserting "*no*" on the form. In my view, doing that was careless. I say this because the evidence is that TBO had been told there had been a blocked drain in the road, and that this had caused flooding of P's property.

TBO has recently argued that, in 2014, it wasn't told there had been flooding. I disagree – the 2014 statement of fact included "*floor flooded from a blocked drain on road*".

TBO can't produce a recording of the conversation in which the original information was provided by P in 2014. I don't agree that the question that seems to have been asked at that time about flooding only related to incidents caused by the weather conditions. In effect, I think three questions were asked: about whether the property was in an area that was subject to 1) "*hazardous weather conditions*", 2) "*flooding*", or 3) "*subsidence*". But, in any event, I think flooding arising from a blocked drain in the road could reasonably be said to be caused by the weather conditions. If there wasn't heavy rain, it's unlikely the drain could have caused flooding.

Loss adjusters acting for P's second insurer say P's director told them there had been several "flash floods" in the area in the years prior to 2015. If that's right, and if P told TBO the answer to each of the three questions from 2014 that I've mentioned was "*no*" (and TBO can't produce a recording to show that it did), I agree that answer was questionable. But even if P did say that in 2014, I think TBO should have discussed this answer with it because of the earlier claim for flood damage that it knew about. If it had done this, P might have mentioned the "flash floods", and the answer could have been changed. TBO has told us it expects its staff to "*clarify each and every question if the client is confused*". This reinforces my view.

Having said this, I think the answers given in 2014 aren't directly relevant to this complaint. Instead, the complaint concerns the answers that TBO provided in 2015. And, regardless of whether or not P's area was "*subject to flooding*", I consider TBO should have known it was incorrect to say the area didn't have a history of flooding. It knew there had been at least one flood at P's property stemming from the road outside.

The incorrect answer was on the fourth page of the form. I agree that, ideally, P would have pointed this out when it received the statement of facts. But there would have been nothing for it to spot and correct on the form if TBO hadn't inserted an inappropriate answer.

The policy documents state that the insurer with which, in 2015, TBO arranged the cover for stock and trade contents isn't a "[member] of the *UK Financial Ombudsman Service*" and is regulated by an overseas body. In all the circumstances, I agree that TBO should compensate P, as set out below.

my final decision

TBO Services Limited should, jointly with P, instruct a loss adjuster to consider all the available evidence and provide an opinion as to what (if anything) it's likely the insurer would have paid in respect of the 2015 claim if it hadn't cancelled the policy. TBO Services Limited should then compensate P by paying it the sum the loss adjuster suggests, less the premium that P paid for the 2015/2016 period of insurance. TBO Services Limited should also pay the fee charged by the loss adjuster.

Under the rules of the Financial Ombudsman Service, I'm required to ask P to accept or reject my decision before 16 June 2016.

S Lilley
ombudsman